



Fixed Assets: Initial Settings

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Fixed Assets – Initial Settings topic.

Objectives



At the end of this topic, you will be able to:

- Set-up fixed asset definitions in the system.
- Define *Fixed Assets Master Data*.

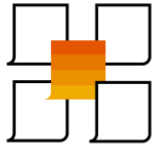
Note! You need to make decisions about legal and industry requirements together with the client accountant.

At the end of this topic, you will be able to:

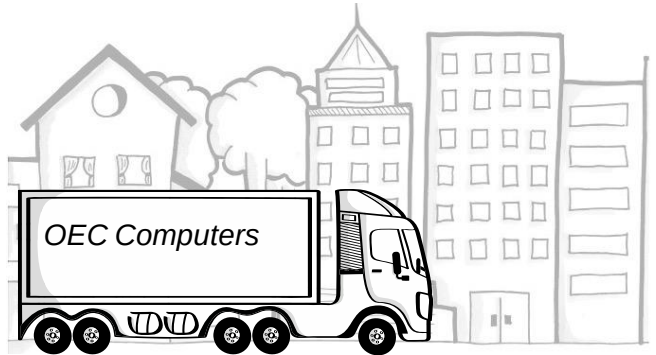
- Set-up fixed asset definitions in the system.
- Define *Fixed Assets Master Data*.

Note! You need to make decisions about legal and industry requirements together with the client accountant.

Business Example



- *OEC Computers* utilizes a small fleet of delivery trucks.
- As the company purchases the trucks, they want to set them up as assets.
 - Bryce the accountant, wanted to have the option to manage and monitor the trucks' value.
 - After you introduced him to the *Fixed Assets* solution in SAP Business One, he decided to enable it in the company database.
 - You help him to set it up in the system.



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- As the company purchases the trucks, they want to set them up as assets.
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- After you introduced him to the *Fixed Assets* solution in SAP Business One, he decided to enable it in the company database.
- You help him to set it up in the system.

System Initialization - Steps

To start working with the Fixed Assets solution you should follow these steps:

1. Activate the new solution.
2. For each type of asset the company owns, configure a set of definitions.
3. Define document numbering for the fixed asset documents the company is going to work with.
4. Define an *Asset Master Data* record for each asset.
5. Attach the relevant set of definitions to each asset master data.



To start working with the *Fixed Assets* solution you should follow these steps:

1. First, you need to activate the new solution.
2. Next, for each type of asset the company owns, configure a set of definitions. For example define the *Heavy Vehicles* set of definitions to be attached to the fleet of delivery trucks that the OEC Computers owns.
3. You should also define document numbering for the fixed asset documents the company is going to work with.
4. Then, define an *Asset Master Data* record for each asset. For example, define the **Truck** as *Asset Master Data*.
5. Next, you attach the relevant set of definitions to each asset master data. So, in our example, you attach the **Heavy Vehicles** set of definitions to the **Truck** *Asset Master Data*

In the next slides we will follow these steps in more details.

1. Activate the New Solution

- **Administration → System Initialization → Company Details → Basic Initialization**
- Check the *Enable Fixed Assets* box:

New windows and fields will be available for the user:

- **Administration → Setup → Financials → Fixed Assets.**
- **Financials → Fixed Assets.**

- To enable the new solution go to: **Administration → System Initialization → Company Details → Basic Initialization.**
- Check the *Enable Fixed Assets* box.
- Once the user checks the box, the *Fixed Assets* functionality will be activated and new windows and fields will be available under **Administration → Setup → Financials → Fixed Assets.**
- And under **Financials → Fixed Assets.**
- Once the solution is activated, you cannot deactivate it and the *Enable Fixed Assets* box becomes disabled.

Activate the Fixed Assets Solution – Set Depreciation Calculation

Asset Master Data

Item No. Manual Transit Diesel
 Description Transit 350 Diesel 22554411
 Foreign Name
 Item Type Fixed Assets
 Item Group Items
 UoM Group Manual
 Price List Base Price
 Unit Price
 Primary Curr

General Purchasing Data Sales Data Inventory Data Fixed Assets Planning Data Production Data Properties Remarks Attachments

Overview Values Depreciation Cost Accounting Attributes

500 depreciation per month

#	Period	Planned Depreciation	Posted Depreciation	Automatic Depreciation	Manual Depreciation
1	1	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
2	2	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
3	3	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
4	4	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
5	5	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
6	6	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
7	7	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
8	8	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
9	9	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
10	10	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
11	11	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
12	12	GBP 500.00	GBP 0.00	GBP 0.00	GBP 0.00
		GBP 6,000.00	GBP 0.00	GBP 0.00	GBP 0.00

Update Cancel

Company Details

Manage Item Cost per Warehouse
 Use Purchase Accounts Posting System
 Allow Stock Release Without Item Cost
 Manage Serial and Batch Cost By
 Items Group Valuation Method
 Serial/Batch Valuation Method
 Enable Separate Net and Gross Price Mode

Ordering Party
 House Bank
 Default Bank Country United Kingdom
 Default Bank Barclays Bank(House Bank 1)
 Default Account No. 12345678
 Default Branch 201030

Install Bank Statement Processing
 Enable Intrastat
 Enable Fixed Assets
 Calculate Depreciation By
 Enable Multiple Branches
 Mask Credit Card Number
 Enable Advanced G/L Account Determination

Month
 Month
 Day

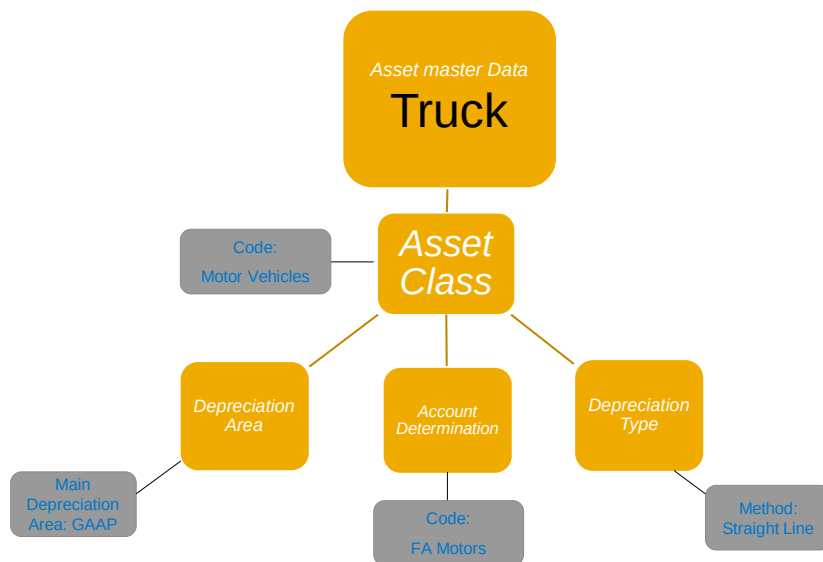
Allow Selection of Any Account Type for Revenue Accounts
 Enable Project Management
 Enable Personal Data Protection Management

Terms and Conditions Browse

OK Cancel

- After you activate the *Fixed Assets* solution, a new option appears, *Calculate Depreciation By*, enabling the user to define the depreciation calculation period.
- In this field you specify whether you want the system to calculate the depreciation of fixed assets by month or day.
- The default selection is *Month*.
- This is a global setting on a company level. You cannot change it during a fiscal year if a depreciation transaction was already posted.
- You will be able to change the selected value at the next fiscal year.
- In the presented example you can see the **Transit** vehicle that the useful life of this vehicle is 12 months.
- company purchased in a cost of **6000**.
- For the sake of the example, let us assume that In the **monthly** calculation, the system will calculate the same value for each month. For example, **6000 : 12 Months = 500** depreciation rate per month.
- This calculation will be displayed as the *Planned Depreciation* rates in the **Asset Master Data** → **Fixed Assets** tab → **Depreciation** sub-tab.
- You can see the calculation in the presented *Asset Master Data* with the planned monthly depreciation rate of **500**.
- The **daily** calculation will have the following calculation **6000 : 365 Days = 16.44** per day. So, the depreciation amount for February for example, will be **28 Days * 16.44 = 460.27**.
- Note! in the calculations we present here we assume that the *Straight Line Deprecation Method* was defined for the asset master data. We will discuss the depreciation methods in the next slides.

2. Fixed Assets Set of Definitions



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- Let us look at our example. We have the new **truck** that *OEC Computers* purchased at the beginning of the fiscal year.
- We create a set of definitions relevant to this kind of asset. In our example we define the **Motor Vehicles** set of definitions.
- Then, we define this truck as *Asset Master Data* under **Financials** → **Fixed Assets** → **Asset Master Data** and attach the **Motor Vehicles** set of definitions to the truck master data.
- The main definition in the *Asset Master Data* is the *Asset Class* which groups the other definitions: *Depreciation Area*, *Account Determination* and *Depreciation Type*.
- In the next slides we will review the different definitions.

Depreciation Area

Depreciation Areas - Setup

Code:

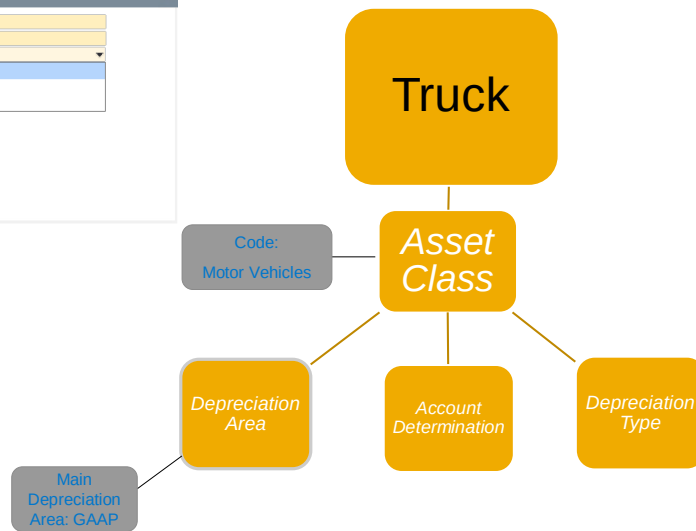
Description:

Type:

Additional Area

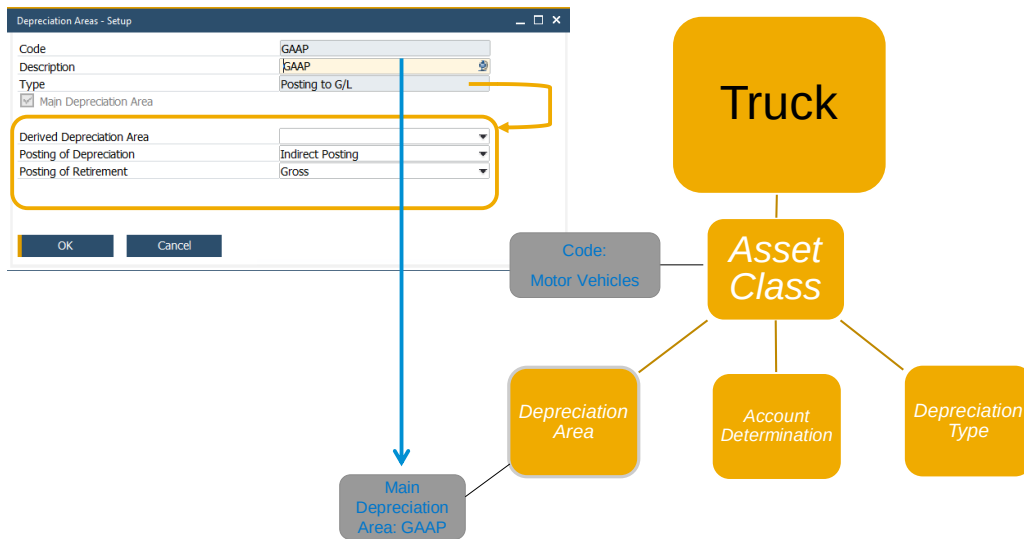
Derived Area

Find Cancel



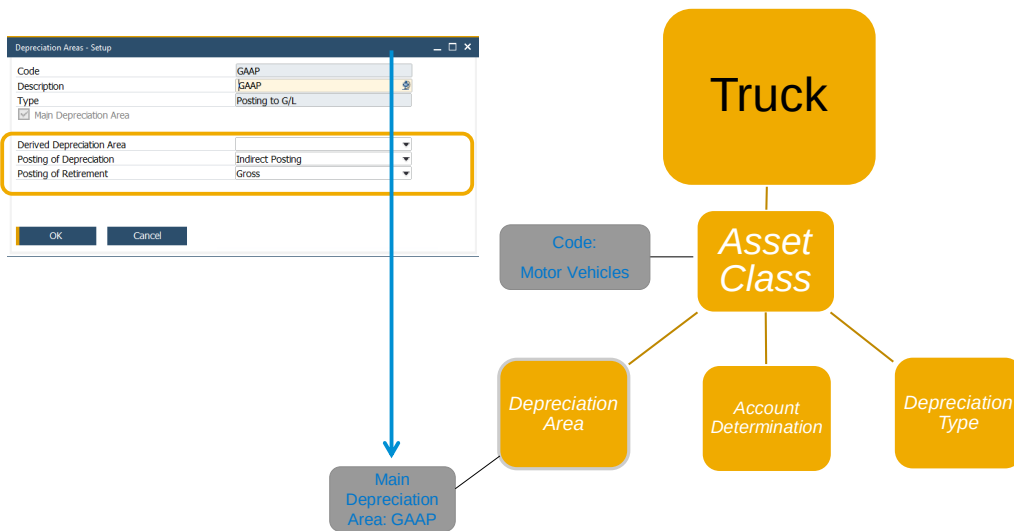
- You define the *Depreciation Area* in **Administration** → **Setup** → **Financials** → **Fixed Assets**.
- The *Depreciation Area* is a financial dimension showing the valuation of the asset according to a particular accounting standard, for example: book depreciation, tax depreciation, or depreciation for cost accounting.
- In the *Type* field we choose between three options: *Posting to G/L*, *Additional Area* and *Derived Area*. The default option is *Additional Area*.
 - The *Posting to G/L* option - means that this area will post transactions to the assets sub-ledger. In our example, we will define **GAAP** that is, Local **G**enerally **A**ccounting **P**inciples, as the *Posting to G/L* area.
 - You can define an *Additional Area* if necessary. In our example, we will define the **IFRS** as the additional area that is, **I**nternational **F**inancial **R**eporting **S**tandards.
 - The additional area can be used for reports.
 - For the unique main depreciation area, the user can define one *Derived Area*. The derived area is a reference to the main depreciation area. The value differences between them are mostly used to keep unplanned depreciation values.
 - So, in our case when you post a special or unplanned depreciation to the main area (the **GAAP** area) , the derived area will keep the unplanned depreciation values enabling the main area to reflect the basic calculation defined in the initial setup.
- Note!
- You cannot change the depreciation area type in case the area was assigned to an asset class.

Depreciation Area - Posting to G/L Type



- When you choose the *Posting to G/L* type other fields appear.
- These fields are unique to the *Posting to G/L* type and will not appear when you choose the *Additional Area* or the *Derived area*.
- The *Main Depreciation Area* is the first definition you choose.
- You need to define one depreciation area as the **main area** in the company.
- In our example, the main area is **GAAP** that is, Local **G**enerally **A**ccepted **A**ccounting **P**riniples
- This main depreciation area will post transactions to the system.
- Note! You can define another *Posting to G/L* area type which is different from the main depreciation area. But, remember that both of them will post transactions to the assets sub-ledger.
- For the main area you can choose a derived depreciation area.

Depreciation Area - Posting to G/L Type – Cont.

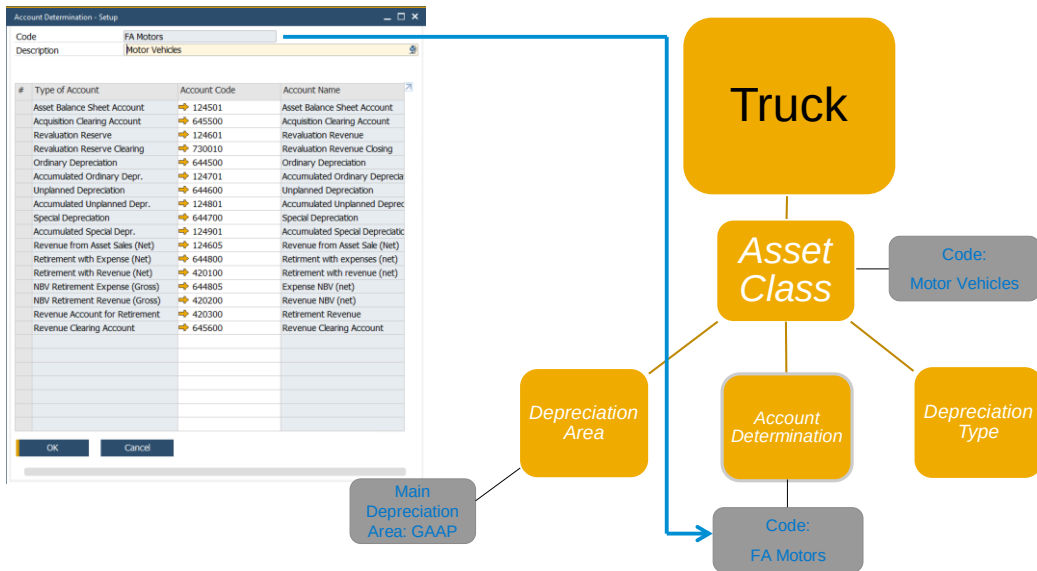


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- Two more fields that become available when you choose the *Posting to G/L* area type are: *Posting of Depreciation* and *Posting of Retirement*.
- These definitions will apply in the *Depreciation* and the *Retirement* documents respectively.
- Here, you decide which accounts will be used automatically in the *Depreciation* and the *Retirement* documents.
- The accounts are taken from the fixed assets *Account Determination* definition attached to the asset master data.
- We will discuss the account determination window in the next slides.
- In the *Posting of Depreciation* field you choose between *Direct Posting* and *Indirect posting*. The default value is *Direct Posting*.
- In *Direct Posting*, the system will post the depreciation directly to the asset balance sheet account specified for the asset.
- In *Indirect Posting*, the system uses the accumulated depreciation account to post the depreciation.
- In this option, the asset balance sheet account is affected only when the asset is purchased or retired.
- Note! this setting depends on the local Generally Accepted Accounting Principles or the internal company accounting policy. It should not be changed in praxis. If it is changed, the reporting might not be transparent.
- In the *Posting of Retirement* field you choose between *Gross* and *Net*. The default value is *Gross*.
- This definition will apply in a *Retirement* document of *Scrapping* type (as oppose to *Sales* type). The system will always treat scrapping as loss. In *Gross* the system uses the default expense *Gross* account. And in *Net* the system uses the default expense *Net* account.

Account Determination for Fixed Assets

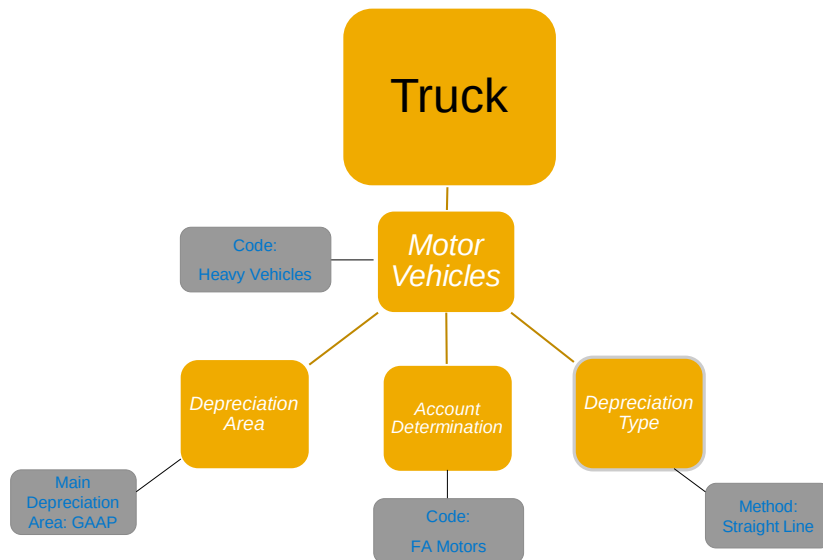


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- You setup the *Account Determination* for fixed assets in **Administration → Setup → Financials → Fixed Assets**.
- The *Account Determination* definition enables the system to automatically select the relevant G/L accounts for assets accounting.
- For each type of asset the company owns you define a set of accounts. In our example we defined the **FA Motors** set of accounts.
- Then, you will attach this definition to the appropriate asset class. In our example it will be the **Motor Vehicles** asset class.
- The asset class will be selected for heavy vehicles assets for example the **truck** that the company owns.
- Therefore, all transactions involving the truck will automatically register entries to the **FA Motors** set of accounts.
- Note! you need to make decisions about G/L Account Determination together with the client accountant.

Depreciation Type



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- You define *Depreciation Type* in **Administration** → **Setup** → **Financials** → **Fixed Assets**.
- The *Depreciation Type* classifies the depreciation based on the reason for the value adjustment.
- The main parameter in the *Depreciation Type* definition is the depreciation *Method*.
- In the graphic, an example of depreciation type is the straight line method of depreciation.

Depreciation Type - Depreciation Method

The screenshot shows the 'Depreciation Types - Setup' window. The 'Method' is set to 'Straight Line' and the 'Calculation Base' is set to 'Yearly'. A blue arrow points from the 'Calculation Base' dropdown to a separate list of options: 'No Depreciation', 'Straight Line', 'Straight Line Period Control', 'Declining Balance', 'Multilevel', 'Immediate Write-Off', 'Special Depreciation', and 'Manual Depreciation'. Another blue arrow points from the 'Calculation Base' dropdown to a small list showing 'Yearly' and 'Monthly'.

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- SAP Business One allows you to set up depreciation types using several pre-defined depreciation methods:
 - *No Depreciation*
 - *Straight Line*
 - *Straight Line Period Control*
 - *Declining Balance*.
 - *Multilevel*
 - *Immediate Write-Off*
 - *Special Depreciation*
 - *And Manual Depreciation*
- The depreciation method sets the depreciation value calculation.
- In our example we choose the *Straight Line* method which is the most common method.
- After you define the code, the description and choose the method for the depreciation type, you set the *Calculation Base*.
- You can choose between two options: *Yearly* and *Monthly*. The default value is *Yearly*.
- Note! The use of the *Monthly* option is exceptional. In most countries it is illegal by local Generally Accepted Accounting Principles and might only be used in an *Additional Area*.
- The value you choose in the *Calculation Base* field will influence the *calculation* tab.
- For details on the other fields in the *General* tab of the *Definition Types – Setup* window refer to the On Line Help.
- Next, let us discuss the calculation tab.

Straight Line Method - The Calculation Tab

Depreciation Types - Setup

Code: SL
Description: Straight Line
Method: Straight Line
Calculation Base: Yearly

General

Remaining Book Value: 0.00
Maximum Depreciable Value: 0.00
☒ Bound Year End Book Value

Salvage Value Percentage: 0.00
☐ Include Salvage Value in Depreciation Calculation

Depreciation Convention

Acquisition	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Subsequent Acquisition	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Retirement	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Transfer from Source Asset	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Transfer to Target Asset	Pro Rata Temporis	PR Temporis Type	Exact Daily Base

☐ Include Depreciation of Previous Periods in Capitalization Period
☐ Stop Depreciation at End of Last Full Fiscal Year
 Percentage of Depreciation to Reverse in Retirement Year: 0.00

Valid From: 01.01.00 To: 31.12.99

OK Cancel

4800 / 24 months of useful life = 200
 200 * 12 months = 2400

Acquisition Value * percentage * Months
 of the period / 12

Net Book Value * months of the period /
 Remaining Life of the asset

Depreciation Types - Setup

Code: SL
Description: Straight Line
Method: Straight Line
Calculation Base: Yearly

General

Calculation Method: Acquisition Value/Total Useful Life

Calculation Method: Acquisition Value/Total Useful Life
 Acquisition Value/Total Useful Life
 Percentage of Acquisition Value
 Net Book Value/Remaining Life

Calculation Method: Annual Percentage
 Annual Percentage: 0.00

- The depreciation method you choose sets the values and fields in the *Calculation* tab.
- When you choose the *Straight Line* method the *Calculation Method* field appears in the calculation tab.
- The *Straight Line* depreciation is the simplest and most commonly used depreciation method, which assumes an asset loses an equal amount of value each year over its estimated useful life. This means that the acquisition and production costs are distributed evenly across the entire useful life of the asset.
- Generally, the straight line depreciation is calculated by subtracting the salvage value of the asset from the acquisition and production costs, and then dividing this amount by the useful life of the asset. In SAP Business One, you are provided with two additional calculation methods.
- So, in the *Calculation Method* field, under the *Calculation* tab, you can choose between three options:
- The first option is *Acquisition Value / Total Useful Life* -
 - If we look at our truck, let us assume that the acquisition value of the truck was **4800** and the useful life defined for the asset is **24** months. The calculated depreciation value for a year will be:
 - **4800 / 24** months of useful life = **200**.
 - The yearly calculation will then be: **200*12 = 2400**
- The second option is *Percentage of Acquisition Value* –
 - When you choose this option the *Annual Percentage* field appears allowing you to enter the percentage value.
 - The calculation of the depreciation value will be the acquisition value * the entered percentage * months of the period / 12.
- And the third option is *Net Book Value / Remaining Life* -
 - The *Net Book Value* is the acquisition value of the asset less any depreciation that has been applied or the asset's last revaluation value.
 - The calculation of the depreciation value will be the *Net Book Value* * months of the period / Remaining Life of the asset.

Declining Balance Method

Depreciation Types - Setup

Code: MV_DB
 Description: Motor Vehicle Declining Balance
 Method: Declining Balance
 Calculation Base: Yearly

General Calculation

Remaining Book Value: 0.00
 Maximum Depreciable Value: 0.00
☒ Round Year End Book Value

Salvage Value Percentage: 20.00
☐ Include Salvage Value in Depreciation Calculation

Depreciation Convention

Acquisition	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Subsequent Acquisition	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Retirement	Pro Rata Temporis	PR Temporis Type	Exact Daily Base
Transfer from Source Asset	Pro Rata Temporis	PR Temporis Type	Last Day of Prior Period
Transfer to Target Asset	Pro Rata Temporis	PR Temporis Type	Exact Daily Base

☐ Include Depreciation of Previous Periods in Capitalization Period
☐ Stop Depreciation at End of Last Full Fiscal Year
 Percentage of Depreciation to Reverse in Retirement Year: 0.00

Valid From: 01.01.00 To: 31.12.99

OK Cancel



- The second most common method in use is the *Declining Balance* method.
- The declining balance method involves higher depreciation charges at the beginning of an asset's useful life and gradually decreasing charges in subsequent periods.
- Each year, the depreciation is calculated using the same constant percentage rate. In the first year, the system calculates the depreciation based on the asset's acquisition and production costs. In the following years, the calculation is based on the asset's remaining net book value.

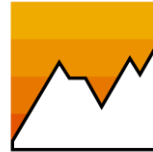
Declining Balance Method – The Calculation Tab

Depreciation Types - Setup

Code	MV_DB
Description	Motor Vehicle Declining Balance
Method	Declining Balance
Calculation Base	Yearly

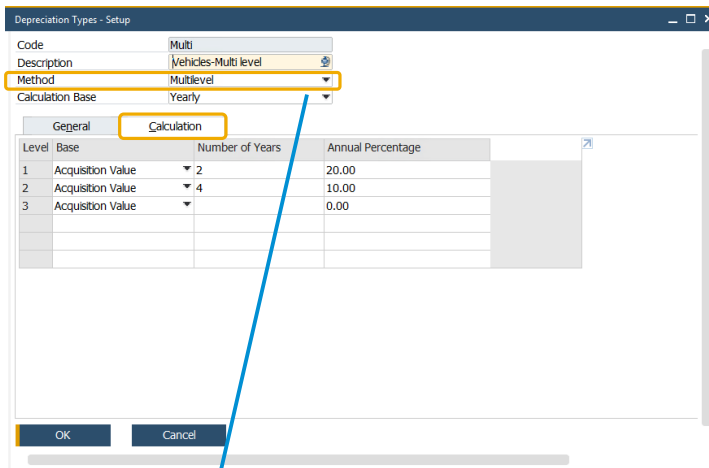
General Calculation

Percentage	20.00
Factor	2.00
Automatically Change To	SL



- Let us review the fields that appear in the *Calculation* tab when you choose the *Declining Balance* method.
- In the **Percentage** field do either of the following:
 - If you have selected *Yearly* in the *Calculation Base* field, enter the annual percentage rate for the depreciation calculation.
 - If you have selected *Monthly* in the *Calculation Base* field, enter the monthly percentage rate for the depreciation calculation.
 - Note! The use of the *Monthly* option is exceptional. In most countries it is illegal by local Generally Accepted Accounting Principles and might only be used in an *Additional Area*.
- The depreciation amount determined by the *Declining Balance* method must not exceed a specified upper limit.
- The value you enter in the **Factor** field controls the **upper limit of the depreciation amount**.
- The upper limit is calculated using the straight line method and multiplied by this factor.
- Note! If an asset's depreciation amount exceeds the upper limit, SAP Business One uses the upper limit as the depreciation amount instead.
- Another rule you can set here is the **Automatically Change To** field.
- The system can switch to straight line depreciation towards the end of the useful life.
- In this field, you define that the declining balance depreciation method will change to a different depreciation type defined in the system.
- Recommendation: in the **Automatically Change To** field, do not specify a depreciation type that does not use the straight line method. If you do so, SAP Business One always calculates the depreciation of an asset as zero.
- The system compares the depreciation amounts between the declining balance and straight line method. When the depreciation amount calculated with the declining balance method falls below the straight line depreciation amount in a point of an asset's life, SAP Business One automatically switches to the straight line depreciation from that point on.
- If the user leaves the *Automatically Change To* field empty, the system will continue to calculate the depreciation amounts according to the declining balance method until the asset's end of useful life.

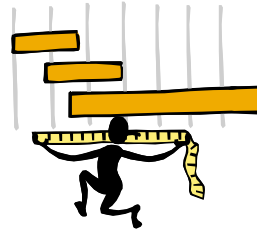
Multilevel Method – The Calculation Tab



Level	Base	Number of Years	Annual Percentage
1	Acquisition Value	2	20.00
2	Acquisition Value	4	10.00
3	Acquisition Value		0.00

Acquisition Value
Net Book Value

Acquisition Value or Net Book Value * annual
percentage * months of the period
/ 12

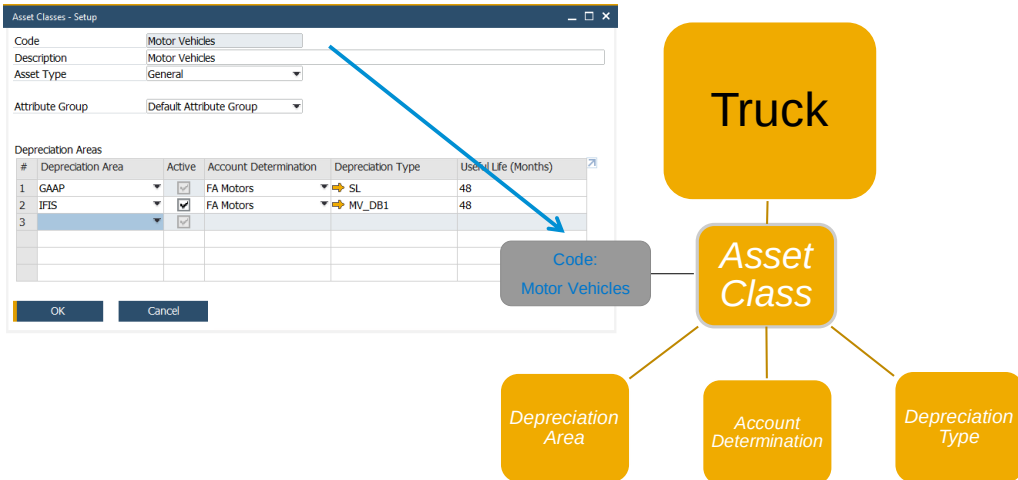


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- The third most common method in use is the *Multilevel* method.
- With the multilevel method, you can view an asset's useful life as several phases and depreciate the asset by a defined rate in each phase.
- SAP Business One lets you break down an asset's useful life into five phases.
- Within each level, a certain percentage rate is used for depreciation. This percentage rate is replaced by the percentage rate of the subsequent level after the validity period expires.
- Let us review the fields that appear in the *Calculation* tab when you choose the *Multilevel* method.
- In the *Base* column you choose between two options: *Acquisition Value* and *Net Book Value*.
- In the *Number of Years* column you enter the number of years for this level.
- Then you enter the annual percentage to be depreciated in this level.
- Note! You should define at least one level.
- The calculation will be the acquisition Value or the net book value * the annual percentage * the months of the period / 12

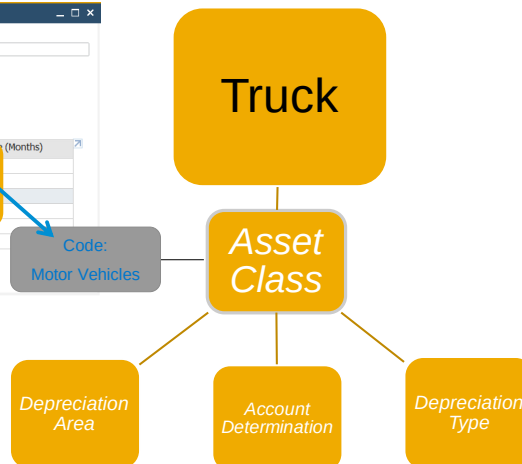
Asset Class



- You define the Asset Classes in **Administration → Setup → Financials → Fixed Assets**.
- Each asset class groups the definitions of the other settings: *Depreciation Area*, *Account Determination* and *Depreciation Type*.
- Each fixed asset will be assigned to one asset class. In our example, the **truck** belongs to the **Motor vehicles** asset class.
- When defining a new asset class you enter the *Code* and optionally the *Description*.
- In the *Asset Type* field you choose between *General* and *Low Value Asset*.
 - A *Low Value Asset* is an asset for which the acquisition and production costs (less included sales tax) does not exceed a legally predefined amount. Typically, a low value asset can be completely written off within the period in which it is acquired.
 - Once the user chooses the *Low Value Asset* option, two additional fields appear: *Value Limit From* and *Value Limit To* enabling to enter the minimal and the maximal values allowed by national laws.

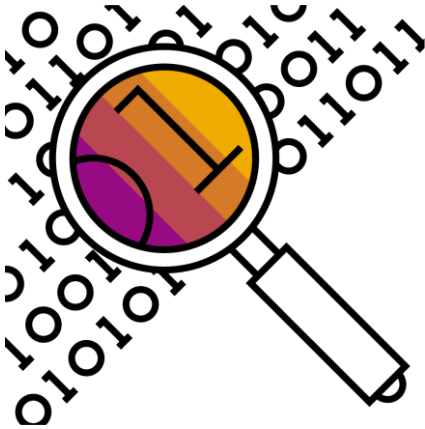
Asset Class – Depreciation Areas Section

#	Depreciation Area	Active	Account Determination	Depreciation Type	Useful Life (Months)
1	GAAP	☒	FA Motors	SL	48
2	IFRS	☒	FA Motors	MV_DB1	48
3		☒	FA Motors	MV_DB1	48



- In the *Depreciation areas* section, you first choose the depreciation areas according to which you want to value the asset.
- Each asset class must contain the **main depreciation area (GAAP)** in our example). If a derived area was defined for the main area it will appear right below the main area.
- You can choose an additional area for the asset class definition if necessary. In our example, we define the **IFRS** as the additional area in the **Motor vehicles** asset class.
- The additional area can be used for reports.
- The default status of the *Active* field is checked. In the main depreciation area and the derived area rows, this field is checked and is not-editable. The user can update the field in the other areas.
- Next, you choose the *Account Determination* definition and the *Depreciation Type* for each area.
- In the *Useful Life* field, you enter (in months) the period during which this asset type is expected to be usable for the purpose for which it was acquired.
- Useful life may, or may not, correspond with the asset's actual physical life, or economic life. Before the end of an asset's useful life, the asset should be written off completely.

3. Define Document Numbering



Fixed asset documents in the *Document Numbering* window:

- Capitalization
- Capitalization Credit Memo
- Manual Depreciation
- Revaluation
- Transfer
- Retirement

- When working with fixed assets as virtual items, define dedicated numbering series for the created assets.
- Note, that the fixed asset and the items master data use the same numbering series setup.

Therefore, define a series for virtual fixed assets in the *Items* object in *Document Numbering* window.

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- Before you start working with fixed assets, define document numbering for the fixed asset documents the company is going to work with.
- The following numbering objects in the *Document Numbering* window are dedicated for fixed asset documents:
 - *Capitalization*
 - *Capitalization Credit Memo*
 - *Manual Depreciation*
 - *Revaluation*
 - *Transfer*
 - *Retirement*
- The default value in the *First No.* column is 1. You can change this value before starting to work with this document.
- If your company would like to define some of their fixed assets as **virtual items**, you should set-up a dedicated numbering series for the created assets.
- Once you define an asset master data as a virtual item, you can start using it as a template for purchasing a bulk of identical assets.
- Using the numbering series, enables the system to create several new assets when a virtual item is purchased in a single transaction row.
- Note, that the fixed asset and the items master data use the same numbering series setup. Therefore, in the *Document Numbering* window, double-click the *Items* row and define a series for virtual fixed assets.

4. Define Asset Master Data



- Next, you define an Asset Master Data record for each asset the company owns, for example, vehicle, building or a laptop.
- In the next slides we will see how the definition in the *Asset Master Data* influences the automatically created journal entries and the value of the fixed asset item.

Define an Asset Master Data – Fixed Assets Tab

Asset Master Data

Item No. Manual Small Truck
 Description Small Truck 550
 Foreign Name
 Item Type Fixed Assets
 Item Group Items
 UoM Group Manual
 Price List Base Price
 Bar Code
 Unit Price
 Primary Currency

☐ Inventory Item
☐ Sales Item
☒ Purchase Item
☐ Virtual Item

General Purchasing Data Sales Data Inventory Data **Fixed Assets** Planning Data Production Data Properties Remarks Attachments

Overview Values Depreciation Cost Accounting Attributes

Status New
 Asset Class Motor Vehicles
 Depreciation Area GAAP

Asset Group
 Depreciation Group
 Inventory No.
 Serial Number
 Location
 Technician
 Employee
 Capitalization Date

Historical APC GBP 0.00
 Acquisition and Production Costs GBP 0.00
 Net Book Value GBP 0.00
 Historical NBV GBP 0.00
 Ordinary Depreciation GBP 0.00
 Unplanned Depreciation GBP 0.00
 Special Depreciation GBP 0.00
 Write-Up GBP 0.00
 Salvage Value GBP 0.00
 Quantity

☐ Statistical Asset
☐ Cession

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciat...
1	GAAP			48	48	SL
2	IFIS			48	48	MV_DB1

- The *Asset Master Data* is located under **Financials** → **Fixed Assets** → **Asset Master Data**.
- In this window you define the assets the company owns.
- It is very similar to the *Item Master Data* window with the addition of the *Fixed Assets Item Type* and the *Fixed Assets* tab.
- With the *Asset Master Data* being separated from the *Item Master Data*, authorizations are handled more efficiently.
- You can follow the process of managing an asset by using the different sub-tabs in the *Asset Master Data*:
 - Overview
 - Values
 - Depreciation
 - Cost Accounting
 - And Attributes
- Let us review the *Overview* sub-tab.

The Overview Sub-Tab

The screenshot displays the SAP Asset Master Data - Overview sub-tab. The top section contains fields for Item No., Description, Foreign Name, Item Type (Fixed Assets), Item Group, UoM Group, Price List, Bar Code, and Unit Price. Below this is a tabbed interface with 'Overview' selected. The main area is divided into three sections: General Definitions, Information, and Depreciation Parameters.

General Definitions:

- Status: New
- Asset Class: Motor Vehicles
- Asset Group: [Dropdown]
- Depreciation Group: [Dropdown]
- Inventory N: [Dropdown]
- Serial Number: [Field]
- Location: [Dropdown]
- Technician: [Field]
- Employee: [Field]
- Capitalization Date: [Field]
- ☐ Statistical Asset
- ☐ Cession

Information:

- Depreciation Area: GAAP
- Historical APC: GBP 0.00
- Acquisition and Production Costs: GBP 0.00
- Net Book Value: GBP 0.00
- Historical NBV: GBP 0.00
- Ordinary Depreciation: GBP 0.00
- Unplanned Depreciation: GBP 0.00
- Special Depreciation: GBP 0.00
- Write-Up: GBP 0.00
- Salvage Value: GBP 0.00
- Quantity: [Field]

Depreciation Parameters:

#	Depreciation Area	Depreciation Start Date	Remaining Life (Months)	Depreciation Method
1	GAAP		48	SL
2	IFIS		48	MV_DB1

The Overview sub-tab includes three main areas:

- The *General Definitions* area where you define the settings for the asset according to its' type.
- The *Depreciation Parameters* area where you set the parameters for depreciation calculation.
- The *Information* area where you can see high level information about the selected asset in a certain fiscal year and depreciation area.
- Let us review the three areas.

The Overview Sub-Tab: General Definitions Area

Asset Master Data

Item No. Manual Small Truck
 Description Small Truck 550
 Foreign Name
 Item Type Fixed Assets
 Item Group Items
 UoM Group Manual
 Price List Base Price
 Bar Code
 Unit Price
 Primary Currency

General Purchasing Data Sales Data Inventory Data **Fixed Assets** Planning Data Production Data Properties Remarks Attachments

Overview Values Depreciation Cost Accounting Attributes

Status New
 Asset Class Motor Vehicles
 Asset Group
 Depreciation Group
 Inventory No.
 Serial Number
 Location
 Technician
 Employee
 Capitalization Date
 Statistical Asset
 Cession

Depreciation Area GAAP

Historical APC GBP 0.00
 Acquisition and Production Costs GBP 0.00
 Net Book Value GBP 0.00
 Historical NBV GBP 0.00
 Ordinary Depreciation GBP 0.00
 Unplanned Depreciation GBP 0.00
 Special Depreciation GBP 0.00
 Write-Up GBP 0.00
 Salvage Value GBP 0.00
 Quantity

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciation Type
1	GAAP			48	48	SL
2	BPS			48	48	MV_DB1

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- In the general definitions area you enter the settings that reflect the asset type.
- The *Status* field is updated automatically with the three system statuses: *New*, *Active* and *Inactive*.
 - The Default value when the asset is created is *New*. This means that the fixed asset was added, but was not capitalized yet.
 - The status changes to *Active* when the asset is capitalized (that is when the depreciation process starts).
 - When the fixed asset is retired by scrapping or has been sold, the status changes to *Inactive*. From now on, no value will be registered in the books for this asset.
- In the *Capitalization Date* field, specify the date on which the asset is capitalized. You can manually specify and update the date before the capitalization actually takes place. Alternatively, SAP Business One automatically fill the date when you capitalize the asset upon the creation of either the *Capitalization* document, or the *A/P Invoice*.
- The main definition in the *Asset Master Data* is the *Asset Class* which includes the association to the other definitions: *Depreciation Area*, *Account Determination* and *Depreciation Type*.
- For details on the other fields in the general definitions area refer to the On Line Help.

The Overview Sub-Tab: Depreciation Parameters Area

Step 5
Attach the relevant set of definitions to each asset master data.

Asset Master Data

Item No. Manual Small Truck
Description Small Truck 550
Foreign Name
Item Type Fixed Assets
Item Group Items
UoM Group Manual
Price List Base Price
Bar Code
Unit Price Primary Curre

General Purchasing Data Sales Data Inventory Data Fixed Assets Planning Data Production Data Properties Remarks Attachments

Overview Values Depreciation Cost Accounting Attributes

Status New
Asset Class Motor Vehicles
Asset Group
Depreciation Group
Inventory No.
Serial Number
Location
Technician
Employee
Capitalization Date
Statistical Asset
Cession

Depreciation Area GAAP

Historical APC GBP 0.00
Acquisition and Production Costs GBP 0.00
Net Book Value GBP 0.00
Historical NBV GBP 0.00
Ordinary Depreciation GBP 0.00
Unplanned Depreciation GBP 0.00
Special Depreciation GBP 0.00
Write-up GBP 0.00
Salvage Value GBP 0.00
Quantity

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciat...
1	GAAP			48	48	SL
2	JFIS			48	48	MV_DB1

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- This is the fifth step where you attach the relevant set of definitions to each asset master data. So, in our example, you attach the **Motor Vehicles Asset Class** to the **Truck Asset Master Data**.
- Once you attach the *Asset Class* to the *Asset Master Data* window all related definitions will apply to this asset.
- In the presented example you can see that the *Depreciation Areas*, the *Useful Life* and the *Depreciation Types* defined for the **Motor Vehicles Asset Class** apply to the presented *Asset Master Data*.
- The user can change the *Useful Life* and the *Depreciation Type* of the asset.
- To define specific depreciation calculation factors for different periods, choose the *Period Control* pushbutton.
- Note that this pushbutton is enabled only if you have selected a row where the depreciation type meets the following conditions:
 - The depreciation type has the *Straight Line Period Control* method.
 - The depreciation period of the depreciation type (defined under the *Calculation* tab in the *Depreciation Types – Setup* window) is *Individual* or *Individual Usage*.

The Overview Sub-Tab: Information Area

Asset Master Data

Item No. Manual Small Truck
Description Small Truck 550
Foreign Name
Item Type Fixed Assets
Item Group Items
UoM Group Manual
Price List Base Price
☐ Inventory Item
☐ Sales Item
☒ Purchase Item
☐ Virtual Item
Bar Code
Unit Price Primary Curre▼

General **Purchasing Data** **Sales Data** **Inventory Data** **Fixed Assets** **Planning Data** **Production Data** **Properties** **Remarks** **Attachments**

Overview **Values** **Depreciation** **Cost Accounting** **Attributes**

Status New
Asset Class Motor Vehicles
Asset Group
Depreciation Group
Inventory No.
Serial Number
Location
Technician
Employee
Capitalization Date
☐ Statistical Asset
☐ Cession

Depreciation Area GAAP

Information

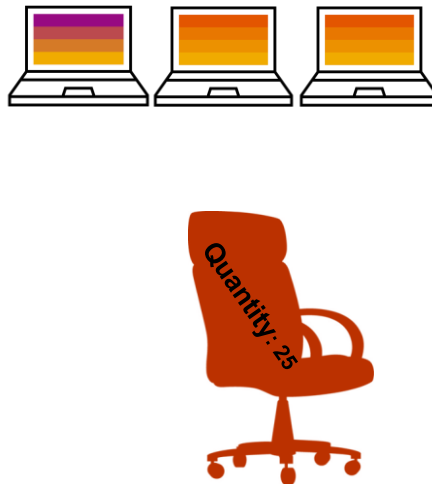
Historical APC	GBP 0.00
Acquisition and Production Costs	GBP 0.00
Net Book Value	GBP 0.00
Historical NBV	GBP 0.00
Ordinary Depreciation	GBP 0.00
Unplanned Depreciation	GBP 0.00
Special Depreciation	GBP 0.00
Write-Up	GBP 0.00
Salvage Value	GBP 0.00
Quantity	

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciat...
1	GAAP			48	48	SL
2	IFIS			48	48	MV_DB1

- In the information area you can see a high level view of the asset data.
- The data is presented according to the selected *Depreciation Area* and the selected *Fiscal year*.
- Once you choose a depreciation area and a fiscal year in the corresponding fields, the other fields in the information area presents the numbers according to this selection.
- For details on the fields in the information area refer to the On Line Help.

Manage Multiple Assets VS. Manage Overall Quantity in Fixed Assets



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- In many cases the company will define a separate asset master data record for each single asset. For example, when each laptop is assigned to a different employee, or has different software components installed in it.
- In this case, each laptop will be defined as a separated *Asset Master Data*.
- You can manage fixed assets with the *Virtual Item* function. When your company needs to purchase identical fixed assets in large quantities for internal use, create a virtual item representing the fixed asset. In the A/P Invoice choose this template item and enter a certain quantity in the item row.
- Then, SAP Business One automatically creates the same quantity of asset master data records, and capitalizes them for you.
- Some companies however want to manage the fixed asset only for the accounting side and therefor will define one type of asset representing the value of the entire quantity of this asset. For example, the chairs that the OEC Computers purchase for their classroom.

Manage Overall Quantity in Fixed Assets

Asset Master Data

Item No. Manual CC00025
 Description Classroom chair
 Foreign Name
 Item Type Fixed Assets
 Item Group Items
 UoM Group Manual
 Price List Base Price
 Bar Code
 Unit Price
 Primary Curre

General Purchasing Data Sales Data Inventory Data Fixed Assets Planning Data Production Data Properties Remarks Attachments

Overview Values Depreciation Cost Accounting Attributes

Status Active
 Asset Class LV assets
 Depreciation Area GAAP
 Fiscal Year 2020
 Asset Group
 Depreciation Group
 Inventory No.
 Serial Number
 Location
 Technician
 Employee
 Capitalization Date 13.08.20
 Statistical Asset
 Cession

Depreciation Parameters

#	Depreciation Area	Depreciation Start Date	Depreciation End Date	Useful Life (Months)	Remaining Life (Months)	Depreciat...
1	GAAP	01.08.20	31.07.22	24	24	SL

Period Control

A/P Invoice

Vendor V23000
 Name Anthony Smith
 Contact Person Matt Spanos
 Vendor Ref. No.
 BP Currency GBP

No. Primary 742
 Status Open
 Posting Date 13.08
 Due Date 14.09
 Document Date 13.08

Contents Logistics Accounting Electronic Documents Attachments

Item/Service Type	Item	Quantity	Unit Price	Disco...	Tax ...	Total (LC)	Summary Type	No Summary
1	CC00025 Classroom chair	12	GBP 100.00	0.00	11	GBP 1,200.00		☒ Consider Quantity
2				0.00	11			

Buyer James Chan (Buyer)
 Owner Chan, James

Total Before Discount GBP 1,200.00
 Discount %
 Total Down Payment
 Freight
 Rounding GBP 0.00
 Tax GBP 240.00
 Total Payment Due GBP 1,440.00
 Applied Amount
 Balance Due GBP 1,440.00

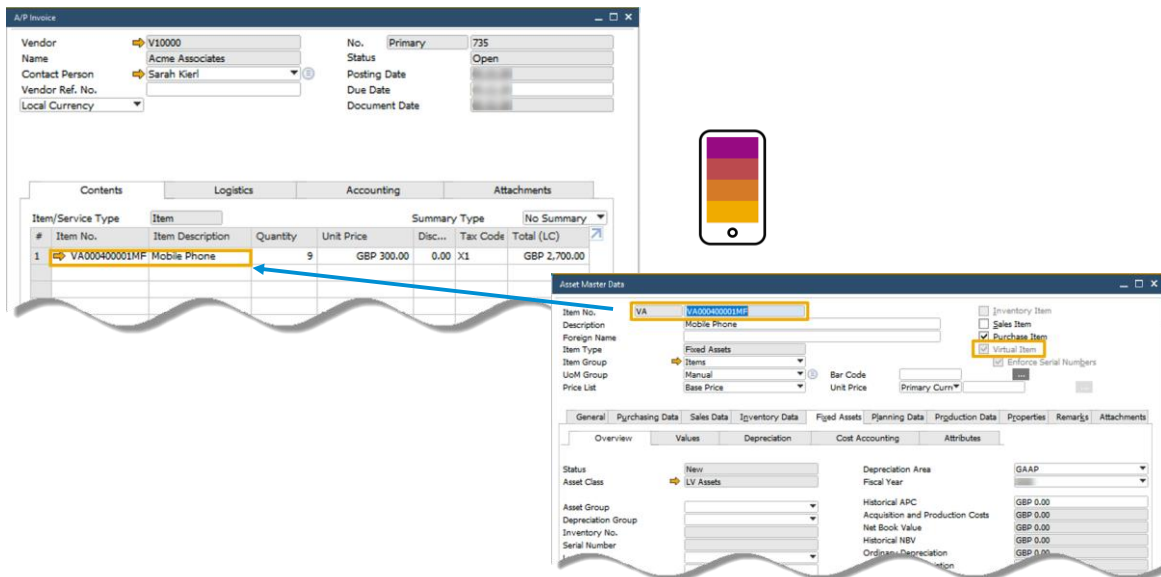
Payment Order Run
 Remarks

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- In case OEC Computers wants to manage the classroom chairs only for the accounting side, they will define a single asseCt master data record representing all the chairs they purchase for their classroom.
- Then, for this asset master data record, the company can decide whether to document the number of purchased items or not.
- So, in the *A/P Invoice* they need to decide whether to consider the purchased quantity or not.
- In the *Form Settings* of the *A/P Invoice* under the *Table Format* tab, they should choose to make the *Consider Quantity* column *Visible* and *Active*.
- The *Consider Quantity* column will be active only for asset master data records. It will be disabled for a regular item.
- Once the user adds the *A/P Invoice*, the purchased quantity will be registered in the asset master data in the *Quantity* field under the *Overview* sub-tab. This data will also appear in reports.

Manage Multiple Assets with the Virtual Item Option



A/P Invoice

Vendor: V10000
 Name: Acme Associates
 Contact Person: Sarah Kieri
 Vendor Ref. No.:
 Local Currency:

No.: Primary 735
 Status: Open
 Posting Date:
 Due Date:
 Document Date:

Item/Service Type	Item	Quantity	Unit Price	Disc...	Tax Code	Total (LC)
1	VA000400001MF Mobile Phone	9	GBP 300.00	0.00	X1	GBP 2,700.00

Asset Master Data

Item No.: VA000400001MF
 Description: Mobile Phone
 Foreign Name:
 Item Type: Fixed Assets
 Item Group: Items
 UoM Group: Manual
 Price List: Base Price

☐ Inventory Item
☐ Sales Item
☒ Purchase Item
☒ Virtual Item
☐ Enforce Serial Numbers

General | Purchasing Data | Sales Data | Inventory Data | Fixed Assets | Planning Data | Production Data | Properties | Remarks | Attachments

Overview | Values | Depreciation | Cost Accounting | Attributes

Status: New
 Asset Class: LV Assets
 Asset Group:
 Depreciation Group:
 Inventory No.:
 Serial Number:

Depreciation Area: GAAP
 Fiscal Year:
 Historical APC: GBP 0.00
 Acquisition and Production Costs: GBP 0.00
 Net Book Value: GBP 0.00
 Historical NBV: GBP 0.00
 Ordinate Depreciation: GBP 0.00

- OEC Computers defined a virtual item for the mobile phones they purchase for their employees.
- Virtual items can be capitalized by A/P invoices only.

Manage Multiple Assets with the Virtual Item Option

The image shows two SAP screenshots. The top screenshot is the 'A/P Invoice' screen, displaying a line item for 'Mobile Phone' with a quantity of 9. The bottom screenshot is the 'Asset Master Data' screen, showing the details for a newly created asset. A blue arrow points from the line item in the invoice to the asset master data screen. To the right of the screenshots, there are several icons of mobile phones, representing the multiple assets created from the single invoice line item.

A/P Invoice

#	Item No.	Item Description	Quantity	Unit Price	Disc...	Tax Code	Total (LC)
1	VA00040001MF	Mobile Phone	9	GBP 300.00	0.00	X1	GBP 2,700.00

Asset Master Data

Item No. VA00040001MF
 Description Mobile Phone
 Foreign Name
 Item Type Fixed Assets
 Item Group Items
 UoM Group Manual
 Price List Base Price
 Bar Code
 Unit Price
 Primary Curr

☐ Inventory Item
☐ Sales Item
☒ Purchase Item
☐ Virtual Item

General | Purchasing Data | Sales Data | Inventory Data | Fixed Assets | Planning Data | Production Data | Properties | Remarks | Attachments

Overview | Values | Depreciation | Cost Accounting | Attributes

Status Active
 Asset Class LV Assets
 Asset Group
 Depreciation Group
 Inventory No.
 Serial Number
 Location
 Technician
 Employee
 Capitalization Date

Depreciation Area GAAP
 Fiscal Year
 Historical APC
 Acquisition and Production Costs
 Net Book Value
 Historical NBV
 Ordinary Depreciation
 Unplanned Depreciation
 Special Depreciation
 Write-Up
 Salvage Value

- The quantity of the automatically created asset master data is the same as the quantity you have specified in the A/P invoice.
- The item numbers are automatically assigned to newly created asset master data, according to the rules you have defined for the series used in the master data of the virtual fixed asset (step 3 in our initialization process).
- In our example, when OEC Computers enter a quantity of 9 mobile phones in the A/P Invoice row, the system automatically creates 9 asset master data, one for each mobile phone.
- The information in the asset master data of the virtual fixed asset is copied to the newly created asset master data, except the *Virtual Item* checkbox which stays unselected.
- The assets created are regular fixed assets with monetary values. The virtual item functions as a template and therefore will not have any values under the *Fixed Assets* tab.

Summary



Here are some key points to take away:

To start working with the Fixed Assets solution you should follow these steps:

- Activate the new solution.
- For each type of asset the company owns, configure a set of definitions.
- Define document numbering for the fixed asset documents the company is going to work with.
- Define an Asset Master Data record for each asset.
- Attach the relevant set of definitions to each asset master data.

For certain assets decide:

- Whether to define a separate master data record for each single asset using the Virtual Item function.
- Or, to manage the fixed asset only for the accounting side and therefor define one asset representing the value of the entire quantity of this asset.

- Here are some key points to take away:
- To start working with the Fixed Assets solution you should follow these steps:
 - Activate the new solution.
 - For each type of asset the company owns, configure a set of definitions.
 - Define document numbering for the fixed asset documents the company is going to work with.
 - Define an Asset Master Data record for each asset.
 - Attach the relevant set of definitions to each asset master data.
- For certain assets, decide whether to define a separate master data record for each single asset using the *Virtual Item* function. Or, to manage the fixed asset only for the accounting side and therefor define one asset representing the value of the entire quantity of this asset.

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